

USA - Tuition Reimbursement Policy

Tuition appeal, tuition reimbursement, ISTS, education reimbursement.

Purpose

Johnson Controls and its affiliated entities (collectively, “Johnson Controls or “the Company”) recognizes that continuing education is an essential element for the success of our employees and our business. The Johnson Controls Tuition Reimbursement Program supports eligible educational efforts requested by our employees, so they can enhance their job performance and develop their career potential.

Scope:

This policy applies to all eligible full-time employees within the U.S apart from employees covered by a collective bargaining agreement.

Policy Statement

Johnson Controls Tuition Reimbursement Program provides eligible employees with reimbursement for courses that are part of an approved degree program (e.g., Associates, Bachelors, or Graduate degree) and offered by an accredited U.S. institution.

Employee Eligibility criteria:

1. The requested employee’s most recent performance rating on record must be at ‘Meets’ or higher for both the performance and behavior ratings.
2. An employee is not eligible for consideration under this policy if he/she is the subject of a written improvement plan for below-standard performance or has received a written warning for corrective action within 6 months prior to the request.
3. Must be an active employee at the time the course(s) begins and is completed.
4. To participate in the Johnson Controls Tuition Reimbursement Program, employees must have completed twelve months of continuous service prior to the course start date.
5. The employee’s participation in the program must not negatively impact the employee’s job performance

Program Eligibility and Provisions:

Johnson Controls Tuition Reimbursement Program provides eligible employees with reimbursement for courses that are part of an approved degree program (e.g., Associates, Bachelors, or Graduate degree) and offered by an accredited U.S. institution. Contact the HR Shared Service Center for support if you have questions on whether your institution is accredited according to these guidelines.

The following describes course eligibility:

- A college credit course related to the employee’s current job OR to a job to which the employee could reasonably aspire.

- A degree program in an area related to the employee's current job or as part of a career development program defined by the employee and the employee's manager.
- Degrees specifically not covered include, but are not limited to medical, nursing, aviation, culinary arts, law, criminal justice, elementary education, and interior decorating.
- Foreign languages are not covered unless they are part of a requirement in pursuit of a degree.
- Distance learning, accelerated programs or courses that do not require scheduled attendance in traditional classrooms as part of the normal course of study, are eligible if they meet the criteria included in this policy.

Reimbursement eligibility:

Employees must complete the following requirements before being eligible for the Tuition Reimbursement Program:

Provide proof of acceptance when enrolling into a degree program, e.g., an acceptance letter.

1. Obtain two levels of approval on the tuition reimbursement application (excludes Executive MBA programs; see below) Employee's immediate manager, and one additional level.
2. Submit the course approval from prior to enrollment in each course. Failure to adhere to this guideline may result in the delay or denial of reimbursement.
3. In the event of a course change, resubmit the tuition reimbursement form within one week of the change.
4. Once you have completed your course, you can submit a tuition reimbursement form. Please note – you must do this within 60 days of course completion.

*It is the employee's responsibility to obtain all required approvals prior to the start of classes

Reimbursement limitations:

Undergraduate courses are limited to whichever is met first: \$5,250 per calendar year or

20 credit hours. Graduate courses are limited to whichever is met first: \$12,000 per calendar year or 20 credit hours.

-Graduate level courses qualify for inclusion as part of a 'Qualified tuition reimbursement program' as defined by the Internal Revenue Service and shall qualify for exclusion from the employee's gross income subject to the annual \$5,250 limitation.

-Any amounts reimbursed more than the annual \$5,250 limit are fully taxable as income to the employee.

Accelerated Programs (excluding Executive MBA programs):

- Are eligible under this program. -Are subject to the limitations stated above. -Accelerated Programs are still subject to the dollar limit and credit limit as stated above.

Executive MBA programs that require company sponsorship and advance payment are exceptions to this policy. They may be approved by the Business/Functional Leader and VP HR and require that the employee signs a repayment agreement.

Credits apply to the calendar year in which the course finishes. The dollar limit applies to the year the course was reimbursed. One hundred percent of the expenses covered are eligible for reimbursement.

Covered expenses include:

-Tuition costs -Registration -Credit-By-Exam (Credits received will apply to your credit limit) -Books (up to \$100.00 maximum per course)

Expenses not covered:

-Exam Fees -Transportation -Tools -Supplies – Fees -Late Charges -Lodging -Meals

Employees must provide the following, within 60 days of course completion, to receive Tuition Reimbursement.

-An itemized PAID fee statement from the college/university – not a balance due statement nor a credit card receipt.

-An original grade report as evidence of satisfactory completion. Satisfactory completion is defined based on the level of course:

Undergraduate courses require a C- or better.

Graduate level courses require a B- or better.

Where no grade is given, a certificate of completion from the school is required.

Steps to apply for Tuition Reimbursement:

1. Once you have completed your course, log on to his ISTS homepage.
2. Click JCI Tuition Reimbursement Hub - Start a course approval/File an appeal for a denied course/Apply for Reimbursement



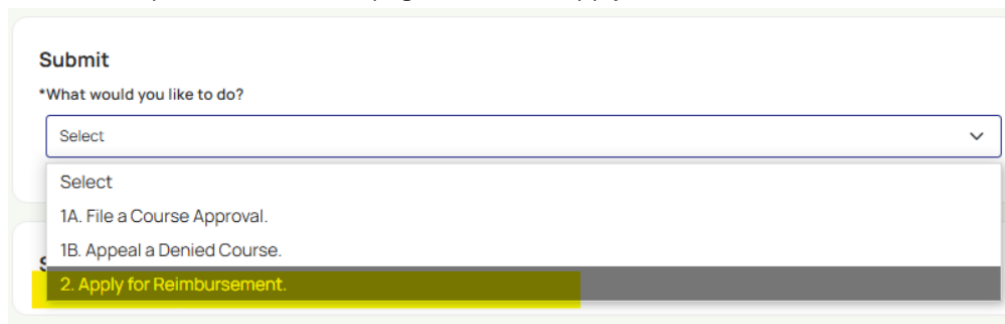
#7286532
JCI Tuition Reimbursement Hub
 Awarded

Completed Date 
Nov 18, 2024

 Tuition Assistance

JCI Tuition Reimbursement Hub - Start A Course Approval/File An Appeal For A Denied Course/Apply For Reimbursement

3. From the drop down on the next page, selection “Apply for Reimbursement”



Submit

*What would you like to do?

Select

Select

1A. File a Course Approval.

1B. Appeal a Denied Course.

2. Apply for Reimbursement.

4. Fill out the information on the form, provide documents, and submit.

Additional Program Information

The purpose of this plan is to provide educational assistance to the employees of Johnson Controls. In this connection, it is intended that this program qualify as a plan providing qualified educational assistance pursuant to Internal Revenue Code (“IRC”) Section 127 and the Treasury Regulations promulgated thereunder, and that any benefits provided under the program in the form of the education assistance up to the annual maximum of \$5,250 will be eligible for exclusion from the employee-recipient’s income under those provisions. In this connection, in the event any of the terms or conditions of the program are determined to be contrary to such requirements, the provisions of IRC Section 127 and the Treasury Regulations issued thereunder shall prevail. This program is intended to be non-discriminatory within the meaning of the IRC 127(b), and not more than 5% of the aggregate benefits paid or incurred in each year under the plan shall be attributed to principal shareholders or owners (as defined in IRC 127) of Johnson Controls.

Johnson Controls reserves the right to reduce or refuse payment of benefits under the program to individual employee-recipients in the event such payment would result in the disqualification of the plan under the foregoing guidelines. Johnson Controls reserves the right to amend, modify or terminate the educational benefits provided here at any time to correspond to changes in applicable law. Accordingly, Reimbursements for graduate-level education in excess of the annual \$5,250 all of which will be taxable to the recipient-employee, are not included as part of the qualified educational assistance program described in the above section, but are provided by Johnson Controls as an additional educational assistance program provided to the employees. As such, Johnson Controls maintains certain income reporting and withholding obligations with respect to graduate level educational assistance benefits provided more than the annual \$5,250 limitation. It shall be the ultimate responsibility of the individual employee recipient to determine if any benefits received under the program are taxable to the recipient. Employee –recipients should consult Internal Revenue Service Publication 508 and/or contact their independent tax adviser for further questions regarding the taxability of benefits received under the program... Following the administrative procedures of this program is intended to ensure compliance with the current law but employees receiving benefits under this program must be prepared to provide substantiation to the company that the payments or reimbursements made under the program constitute “educational assistance” within the meaning of IRC Section 127.

This policy shall not be deemed to constitute a contract between the company and any participating employee; or to be consideration or inducement for the employment or continued employment of any participant. Nothing contained in this program shall be deemed to provide any employee the right to be retained in service of the company, or to interfere with the right of the company to discharge the employee at any time regardless of the

effect which such discharge shall have upon such person as a participant in the program. Any exceptions to the policy contained herein require the approval of the respective business unit's vice president, Human Resources.

Implementation

Management at each business unit and each location is responsible for implementing and ensuring compliance with this policy. Human Resources will provide guidance and assistance to employees and management in fulfilling the intent of this policy. Each case where questions may arise will be considered on its individual merits.

Learn more about completing your tuition reimbursement request [here](#).

Please contact ISTS at 855.670.4787 or JCITR@applyISTS.com if additional assistance is required. They will be able to help you with your specific account questions and troubleshooting any issues you are facing.